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*As active brokers and capital facilitators, we constantly engage with investors, operators, and lenders to stay abreast of the Seniors Housing and Long-Term Care market. This brief report highlights key insights gathered from recent conversations with industry stakeholders of all types.*

- Assisted Living and Memory Care providers are finding success in keeping one or two units open for short-term, respite care stays. This has proven to be a feeder source, as residents ease into the transition and alleviates family guilt around making a long-term commitment too quickly.
- Providers with special state contracts for high-acuity or behavioral Assisted Living residents are disproportionately allocating a higher percentage of their overall portfolio debt to these facilities. This strategy is used to justify higher capital reimbursement under the terms of their agreements.
- More providers are rebranding their dietary departments as “culinary services” and updating job titles to reflect a more upscale dining experience, such as “Executive Chef” and “Sous-Chef’s”. This subtle language shift hopes to boost both staff morale and performance standards, even in lower-end communities.
- Small-home communities (licensed for under 20 beds) are eating more into the market share of larger, institutional-style facilities. These smaller communities are appearing more frequently in demand/feasibility studies as well for larger development projects.
- Several fraternal, nonprofit campuses have begun accepting residents from out of state as local census declines and peer fraternal communities close their doors.
- While many inpatient rehab facilities have cut into Skilled Nursing’s market share, many are now struggling financially due to volatile census swings and tightening reimbursement.
- Communities are increasingly integrating Assisted Living and Memory Care activities together and hosting tours during these events. This conveys to families that memory care can be more vibrant and less isolated.
- Adult day care utilization rates have dropped significantly in some regions of the country, with a handful of sites converting into traditional child daycare centers.
- Some states are considering expanded reimbursement models that allow Home Health providers to deliver and bill for care within Assisted Living communities. Even with the inclusion of additional services (such as therapy, psychiatric care, wound treatment, etc.) the total cost of care remains lower than that of Skilled Nursing. Historically, many Medicaid waiver programs would not reimburse seniors for these types of Home Health services if they resided in Assisted Living.
- More communities have created hiring panels that empower junior staff to participate in interviews and vote collectively on new hires.
- Some Skilled Nursing and Seniors Housing landlord groups are navigating around tenants’ purchase option clauses by issuing stock in their entities to third-party buyers rather than selling the underlying real estate. This effectively structures the transaction as an asset sale.
- HUD, SBA, and USDA financing programs continue to operate slowly amid federal employee layoffs. Some agencies have closed state offices entirely, with applications now being processed through centralized federal channels.

HELIOS

**William Janis**
Managing Director

55 E. Monroe Street
Suite 2870
Chicago, IL 60603

1-312-492-4676

bjanis@helioshca.com

**Jeffrey Rhodes**
Managing Director

55 E. Monroe Street
Suite 2870
Chicago, IL 60603

1-662-404-1668

jrhodes@helioshca.com

**Justin Valle**
Associate

55 E. Monroe Street
Suite 2870
Chicago, IL 60603

1-312-239-0383

jvalle@helioshca.com

**Mondo Arce**
Associate

55 E. Monroe Street
Suite 2870
Chicago, IL 60603

1-312-625-6098

marce@helioshca.com